

ADVANCED BUSINESS ANALYSIS REPORT

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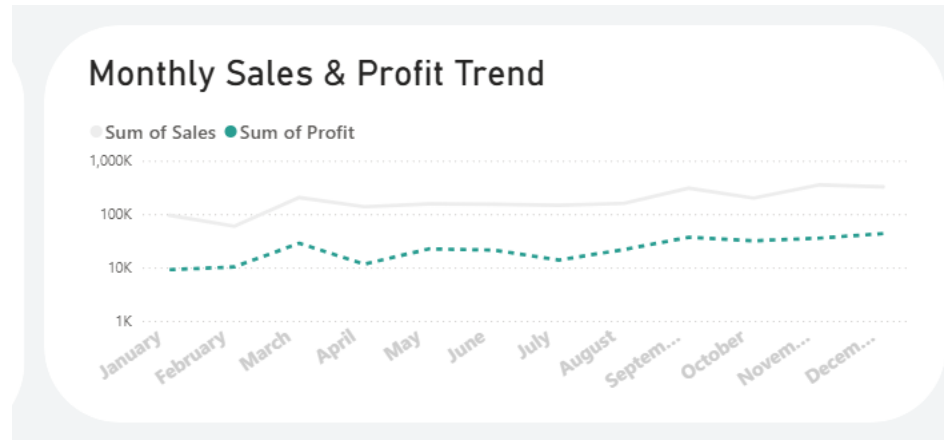
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21, August 2026

Advanced Business Analysis

1. Sales Performance

Are there seasonal patterns in sales and profit throughout the year?

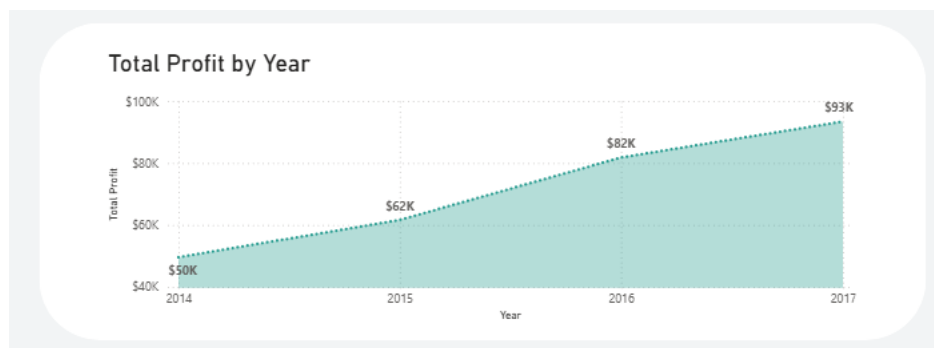


Finding: November (\$352.5K) recorded the highest sales, followed by December (\$325.3K), while February (\$59.8K) was the weakest month. Profits followed a similar pattern, peaking in December (\$43.4K) and staying strong in September (\$36.9K) and November (\$35.5K), while January (\$9.1K) recorded the lowest profit. Overall, sales and profit both trends upward toward the end of the year.

Recommendation: Strengthen promotions and marketing during the weaker months, particularly February, and increase inventory and marketing efforts ahead of the strong September–December period to maximize sales and profit.

2. Profitability Analysis

Are there seasonal or growth patterns in sales and profit over time?



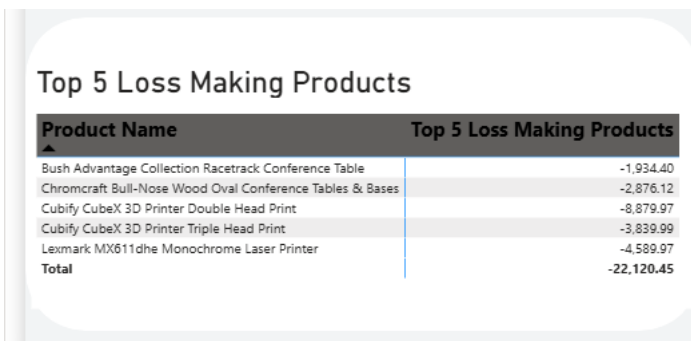
Finding: Total Profit has grown consistently every year — from \$50K (2014) to \$62K (2015), \$82K (2016), and \$93K (2017). That's a steady upward trend with no decline in any year, though growth appears to be slightly slowing (2014→2015: +24%, 2015→2016: +32%, 2016→2017: +13%).

Recommendation:

The consistent year-over-year profit growth is a strong sign, but the slowdown in 2017's growth rate is worth monitoring, it is important to identify whether it's due to market saturation, increased discounting, or rising costs, so the company can sustain its growth trajectory rather than plateauing.

3. Product Performance

What Products are generating losses?



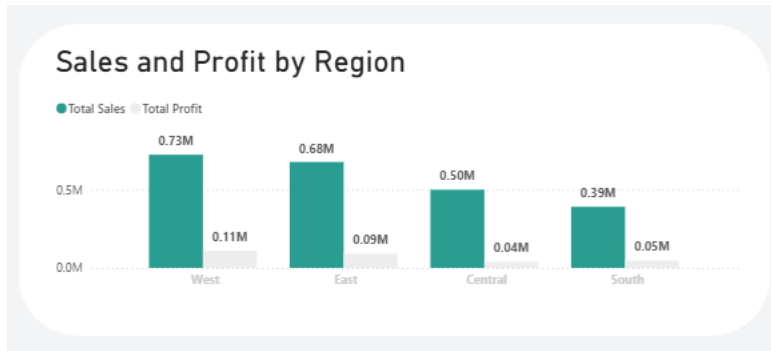
Product Name	Top 5 Loss Making Products
Bush Advantage Collection Racetrack Conference Table	-1,934.40
Chromcraft Bull-Nose Wood Oval Conference Tables & Bases	-2,876.12
Cubify CubeX 3D Printer Double Head Print	-8,879.97
Cubify CubeX 3D Printer Triple Head Print	-3,839.99
Lexmark MX611dhe Monochrome Laser Printer	-4,589.97
Total	-22,120.45

Finding: The Top 5 loss-making products recorded the highest negative profits, led by a loss of - \$8,879.97, while other loss-making products had comparatively smaller losses, showing that a few products contribute more significantly to overall losses.

Recommendation: Prioritize reviewing the pricing, discounts, and costs of these Top 5 products to reduce their impact on profitability, while continuing to monitor the other loss-making products.

4. Regional or Geographic Performance

Which regions are underperforming, and where are the regional growth opportunities?

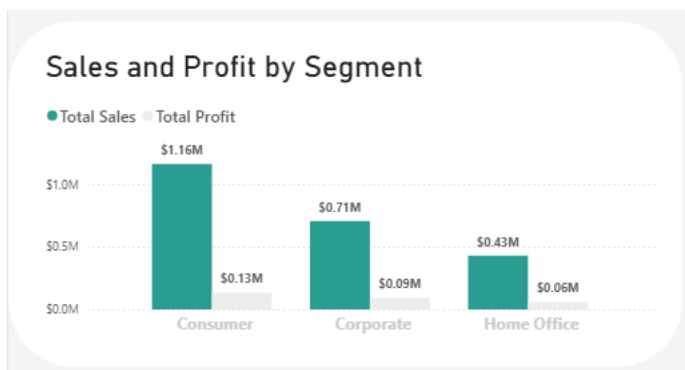


Findings: South has the smallest sales (\$0.39M) but a solid margin (12.8%), close to East's efficiency. Central has decent sales (\$0.50M) but the weakest margin (8.0%) of all regions.

Recommendation: Invest in South — it's small but efficient, so growth there converts well into profit. Hold off on Central until its low margin is fixed.

5. Customer and Segment Analysis

Which customer segments contribute the most to sales and profit?

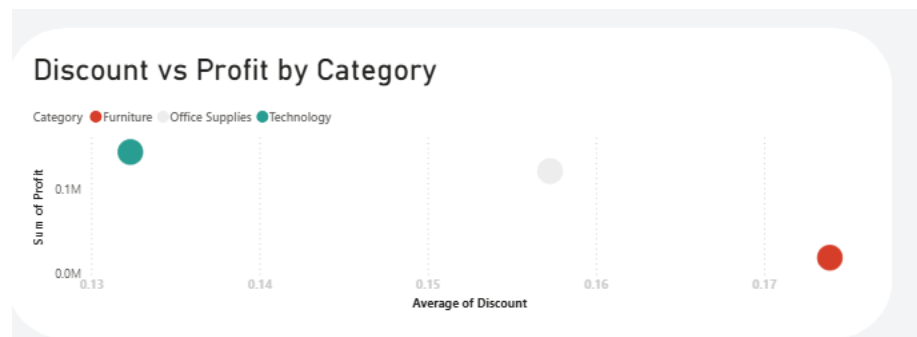


Finding: Consumer contributes the most to both sales (\$1.16M) and profit (\$0.13M), followed by Corporate (\$0.71M sales, \$0.09M profit) and Home Office (\$0.43M sales, \$0.06M profit). However, by profit margin, Home Office is the most efficient at 14.0%, followed by Corporate at 12.7%, with Consumer the least efficient at 11.2% despite leading in total volume.

Recommendation: Prioritize growing the Home Office segment, since it converts sales into profit most efficiently. For Consumer, focus on improving margin such as reviewing discount levels rather than pure sales growth, since scaling a lower-margin segment increases revenue without proportionally increasing profit.

6. Discount Analysis

Is there a relationship between discount level and profitability, and which categories are negatively affected by discounting?



Finding: There is a clear inverse relationship between discount level and profit across categories. Furniture, which carries the highest average discount (17%), generates by far the lowest profit (~\$15K), a stark drop compared to Technology (13% average discount, ~\$150K profit) and Office Supplies (15.5% average discount, ~\$120K profit). This strongly suggests Furniture is the category most negatively affected by discounting.

Recommendation: Reduce discount levels on Furniture specifically, or review why it requires heavier discounting to sell compared to other categories.

Problems

Problem 1: High Sales but Low Profit

A product or category may generate strong sales but produce limited profit.

Investigation: Furniture generates \$0.74M in sales — the second-highest of all three categories — but produces only \$0.02M in profit, a margin of just 2.7%. This is far below Technology (17.9% margin) and Office Supplies (16.7% margin), despite Furniture's sales being comparable to both.

Likely reason: Furniture also carries the highest average discount rate (17%) of any category, compared to Technology's 13%. This strongly suggests heavy discounting is eroding Furniture's margin even though it sells well.

Problem 2: Loss-Making Products

Identify products, sub-categories, or regions generating losses. Investigate: Sales, Profit, Discounts, Order volume.

Investigation: A total of several products recorded negative profit, amounting to -\$77,068.38 in combined losses. The single biggest loss-maker was a CubeX 3D Printer (Double Head), losing -\$8,879.97, followed by an MX611dhe Monochrome Laser Printer (-\$4,589.97) and other Technology and Furniture items.

Likely reason: These specific products are being sold at a net loss, possibly due to excessive discounting or pricing below cost — worth checking discount levels specifically on these five products.

Problem 3: Discount Impact

Investigate whether high discount levels are negatively affecting profitability.

Investigation: There is a clear inverse relationship between average discount and profit across categories. Furniture (17% average discount) generated only ~\$15K in profit, while Technology (13% average discount) generated ~\$150K — ten times more, despite similar sales volume.

Likely reason: Higher discounting directly correlates with lower profitability. Furniture is the clearest case of a category where discounting appears to be actively damaging profit margins.